

STATE OF NEW YORK

8918--A

IN SENATE

January 15, 2026

Introduced by Sen. KAVANAGH -- read twice and ordered printed, and when printed to be committed to the Committee on Housing, Construction and Community Development -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the public housing law, in relation to establishing the build up New York pilot program and the mass timber for affordable housing program; and to amend the tax law, in relation to establishing tax credits for the mass timber for affordable housing program and for mass timber production; and providing for the repeal of certain provisions upon expiration thereof

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Short title. This act shall be known and may be cited as
2 the "facilitating resilient affordable mass timber expansion act" or the
3 "FRAME act".

4 § 2. Legislative intent. The legislature finds that mass timber is a
5 sustainable, resilient, and efficient construction material that can
6 reduce greenhouse gas emissions, lower construction costs, and acceler-
7 ate housing production. The use of mass timber supports New York's
8 climate goals, promotes workforce development, and strengthens supply
9 chains for renewable building products. The purpose of this act is to:

10 1. Pilot the use of mass timber in affordable housing retrofits and
11 additions;

12 2. Provide tax incentives to encourage adoption of mass timber in
13 affordable housing projects; and

14 3. Spur investment in facilities and machinery that produce mass
15 timber products within New York state forests.

16 § 3. The public housing law is amended by adding a new article 16 to
17 read as follows:

ARTICLE XVI

BUILD UP NEW YORK PILOT PROGRAM

Section 660. Definitions.

21 661. Build up New York pilot program.

22 662. Prevailing wage requirements.

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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663. Annual evaluations.

§ 660. Definitions. For the purposes of this article, the following terms shall have the following meanings:

1. "Mass timber" means engineered wood products such as cross-laminated timber, dowel laminated timber, nail laminated timber, glue-laminated timber, and glue-laminated beams and columns.

2. "Qualifying affordable housing projects" means new housing projects built on top of existing buildings or from the ground up and utilizing mass timber that serve households up to one hundred fifty percent of area median income.

3. "Eligible participant" means a municipality that has received a pro-housing community certification from the division of homes and community renewal.

§ 661. Build up New York pilot program. No later than one year from the effective date of this article, the commissioner shall establish a competitive build up New York pilot program. Such program shall provide grants to eligible participants constructing qualifying affordable housing projects using mass timber, and priority shall be given to qualifying affordable housing projects using mass timber harvested within New York from forests with an approved management plan pursuant to section four hundred eighty-a of the real property tax law.

§ 662. Prevailing wage requirements. The pilot program established pursuant to this article shall require that an eligible participant or a third-party acting on the eligible participant's behalf shall comply with the provisions of section two hundred twenty-four-a of the labor law.

§ 663. Annual evaluations. The division of homes and community renewal shall conduct annual evaluations of the pilot program established pursuant to this article and shall submit a summary evaluation of the pilot program at the end of the second year of such program and again at the conclusion of the program to the temporary president of the senate and the speaker of the assembly. Such evaluations shall include, but not be limited to:

1. The number of applicants to the pilot program and their geographic distribution;

2. The number of projects completed and the number of new units created as a result of the pilot program;

3. Barriers or challenges to implementation of the pilot program; and

4. Legislative recommendations for the expansion or improvement of the pilot program.

§ 4. The public housing law is amended by adding a new article 17 to read as follows:

Article XVII

MASS TIMBER FOR AFFORDABLE HOUSING PROGRAM

Section 670. Definitions.

671. Eligibility criteria.

672. Application and approval process.

673. Powers and duties of the commissioner.

674. Mass timber for affordable housing tax credit.

675. Reporting.

§ 670. Definitions. For the purposes of this article, the following terms shall have the following meanings:

1. "Division" means the division of homes and community renewal.

2. "Certificate of eligibility" means the document issued by the division to an applicant that has completed an application for the mass timber for affordable housing program and has been accepted into the program by the division. Possession of a certificate of eligibility does not by itself guarantee eligibility to claim the tax credit.

3. "Certificate of tax credit" means the document issued to a participant by the division, after the division has verified that the participant has met all applicable eligibility criteria pursuant to this article. The certificate of tax credit shall specify the exact amount of the tax credit allowed pursuant to this article that a participant may claim and shall specify the taxable year in which such tax credit may be claimed.

4. "Participant" means a business entity that:

(a) has completed an application prescribed by the division to be admitted into the program;

(b) has been issued a certificate of eligibility by the division;

(c) has demonstrated that it meets the eligibility criteria in section six hundred seventy-one of this article; and

(d) has been certified as a participant by the commissioner.

5. "Qualifying affordable housing project" means new construction, or a major retrofit of an existing building, that will primarily serve households up to one hundred fifty percent of the area median income.

6. "Mass timber" means engineered wood products such as cross-laminated timber, dowel laminated timber, nail laminated timber, glue-laminated timber, and glue-laminated beams and columns.

§ 671. Eligibility criteria. Eligibility criteria for the mass timber for affordable housing program shall require that participants:

1. primarily utilize mass timber in qualifying affordable housing projects;

2. be in compliance with all worker protection and environmental laws and regulations; and

3. not owe past due state taxes or local property taxes unless the participant is making payments and complying with an approved binding payment agreement entered into with the taxing authority.

§ 672. Application and approval process. 1. Applicants for the program shall submit a completed application in such form and with such information as prescribed by the commissioner. The application shall require that applicants:

(a) agree to allow the department of taxation and finance to share the applicant's tax information with the division; provided, however, that any information shared as a result of such agreement shall not be available for disclosure or inspection under the state freedom of information law;

(b) agree to allow the department of labor to share the applicant's employer information with the division; provided, however, that any information shared as a result of this agreement shall not be available for disclosure or inspection under the state freedom of information law;

(c) allow the division and its agents access to any and all books and records that the division may require to monitor compliance; and

(d) certify, under penalty of perjury, that the applicant is in substantial compliance with all environmental, worker protection, and local, state, and federal tax laws.

2. After reviewing an applicant's completed application and determining that the applicant will meet the requirements of this section, the division may admit the applicant into the program and provide such applicant with a certificate of eligibility.

1 3. In order to become a participant in the program, an applicant shall
2 submit evidence, in such form as the commissioner may prescribe, that
3 such applicant satisfies the eligibility criteria set forth in section
4 six hundred seventy-one of this article. After reviewing such evidence,
5 if the division finds that the applicant satisfies the eligibility
6 criteria, then the division shall certify the applicant as a participant
7 and issue to such participant a certificate of tax credit.

8 § 673. Powers and duties of the commissioner. 1. The commissioner
9 shall promulgate regulations consistent with the purposes of this arti-
10 cle which, notwithstanding any provisions to the contrary in the state
11 administrative procedure act, may be adopted on an emergency basis. Such
12 regulations shall include, but not be limited to, establishing an appli-
13 cation process and eligibility criteria for business entities desiring
14 to participate in the mass timber for affordable housing program so as
15 not to exceed the annual cap on tax credits set forth in section six
16 hundred seventy-four of this article and such other provisions as the
17 commissioner deems to be appropriate to implement the provisions of this
18 article.

19 2. The commissioner shall, in consultation with the department of
20 taxation and finance, develop a certificate of tax credit that shall be
21 issued by the commissioner to participants. Participants shall be
22 required to include the certificate of tax credit with their tax return
23 to receive any tax benefits under this article.

24 3. The commissioner shall solely determine the eligibility of any
25 applicant applying for entry into the program and shall remove any
26 participant from the program for failing to meet any of the requirements
27 set forth in section six hundred seventy-one of this article.

28 § 674. Mass timber for affordable housing tax credit. 1. A partic-
29 ipant in the mass timber for affordable housing program shall be eligi-
30 ble for a credit against the costs of purchasing mass timber for a qual-
31 ifying affordable housing project in New York state. The amount of such
32 credit shall be equal to twenty-five percent of the cost.

33 2. In addition to the credit authorized pursuant to subdivision one of
34 this section, a participant in the mass timber for affordable housing
35 program primarily using mass timber harvested within New York from
36 forests with an approved management plan pursuant to section four
37 hundred eighty-a of the real property tax law shall be eligible for an
38 additional credit against the costs of purchasing mass timber for a
39 qualifying affordable housing project in New York state. The amount of
40 such additional credit shall be ten percent of the cost.

41 § 675. Reporting. The division, beginning February first, two thousand
42 twenty-eight, and annually thereafter provided program funds remain,
43 shall submit a report to the governor, the temporary president of the
44 senate, and the speaker of the assembly. Such annual report shall
45 include, but need not be limited to: the number of participants approved
46 for the program; the geographical distribution of participants; the
47 total amount of tax credits provided through the mass timber for afford-
48 able housing tax credit; the number of new units created; and such other
49 information as the commissioner determines is necessary and appropriate.
50 Such reports shall be included on the division's website and be made
51 publicly available.

52 § 5. Section 210-B of the tax law is amended by adding a new subdivi-
53 sion 63 to read as follows:

54 63. Mass timber for affordable housing tax credit. (a) Allowance of
55 credit. A taxpayer that has been approved by the commissioner of homes
56 and community renewal to participate in the mass timber for affordable

1 housing program and has been issued a certificate of tax credit pursuant
2 to section six hundred seventy-two of the public housing law shall be
3 allowed to claim a credit against the tax imposed by this article. The
4 credit shall equal up to twenty-five percent of costs directly attribut-
5 able to the design, procurement, and installation of mass timber in
6 qualified affordable housing projects; provided, however, that there
7 shall be an additional credit equal to ten percent of costs directly
8 attributable to the design, procurement, and installation of mass timber
9 harvested within New York from forests with an approved management plan
10 pursuant to section four hundred eighty-a of the real property tax law
11 in qualified affordable housing projects. In no event shall a taxpayer
12 be allowed a credit greater than the amount of credit listed on the
13 certificate of tax credit issued by the commissioner of homes and commu-
14 nity renewal. No cost or expense paid or incurred by the taxpayer that
15 is the basis for this credit shall be the basis for any other tax credit
16 provided by this chapter.

17 (b) Application of credit. The credit allowed under this subdivision
18 for any taxable year may not reduce the tax due for such year to less
19 than the amount prescribed in paragraph (d) of subdivision one of
20 section two hundred ten of this article. However, if the amount of cred-
21 it allowed under this subdivision for any taxable year reduces the tax
22 to such amount, or if the taxpayer otherwise pays tax based on the fixed
23 dollar minimum amount, any amount of credit thus not deductible in that
24 taxable year will be treated as an overpayment of tax to be credited or
25 refunded in accordance with the provisions of section one thousand
26 eighty-six of this chapter. Provided, however, the provisions of
27 subsection (c) of section one thousand eighty-eight of this chapter
28 notwithstanding, no interest will be paid thereon.

29 (c) Reporting. The taxpayer shall attach to its tax return its certif-
30 icate of tax credit issued by the commissioner of homes and community
31 renewal pursuant to section six hundred seventy-two of the public hous-
32 ing law. In no event shall the taxpayer be allowed a credit greater than
33 the amount of the credit listed on the certificate of tax credit, or in
34 the case of a taxpayer who is a partner in a partnership, a member of a
35 limited liability company, or shareholder in an S corporation, its pro
36 rata share of the amount of credit listed on the certificate of tax
37 credit.

38 (d) Credit recapture. If a certificate of eligibility or a certificate
39 of tax credit issued by the division of homes and community renewal
40 under article seventeen of the public housing law is revoked by such
41 division because the taxpayer does not meet the eligibility requirement
42 set forth in section six hundred seventy-one of the public housing law,
43 the amount of credit described in this subdivision and claimed by the
44 taxpayer prior to that revocation shall be added back to tax in the
45 taxable year in which any such revocation becomes final.

46 § 6. Section 606 of the tax law is amended by adding a new subsection
47 (uuu) to read as follows:

48 (uuu) Mass timber for affordable housing tax credit. (1) Allowance of
49 credit. A taxpayer that has been approved by the commissioner of homes
50 and community renewal to participate in the mass timber for affordable
51 housing program and has been issued a certificate of tax credit pursuant
52 to section six hundred seventy-two of the public housing law shall be
53 allowed to claim a credit against the tax imposed by this article. The
54 credit shall equal up to twenty-five percent of costs directly attribut-
55 able to the design, procurement, and installation of mass timber in
56 qualified affordable housing projects; provided, however, that there

1 shall be an additional credit equal to ten percent of costs directly
2 attributable to the design, procurement, and installation of mass timber
3 harvested within New York from forests with an approved management plan
4 pursuant to section four hundred eighty-a of the real property tax law
5 in qualified affordable housing projects. In no event shall a taxpayer
6 be allowed a credit greater than the amount of credit listed on the
7 certificate of tax credit issued by the commissioner of homes and commu-
8 nity renewal. In the case of a taxpayer who is a partner in a partner-
9 ship, member of a limited liability company or shareholder in an S
10 corporation, the taxpayer shall be allowed its pro rata share of the
11 credit earned by the partnership, limited liability company, or S corpo-
12 ration. No cost or expense paid or incurred by the taxpayer that is the
13 basis for this credit shall be the basis for any other tax credit
14 provided by this chapter.

15 (2) Application of credit. If the amount of the credit allowed under
16 this subsection for any taxable year exceeds the taxpayer's tax for the
17 taxable year, the excess shall be treated as an overpayment of tax to be
18 credited or refunded in accordance with the provisions of section six
19 hundred eighty-six of this article, provided, however, no interest will
20 be paid thereon.

21 (3) Reporting. The taxpayer shall attach to its tax return its certif-
22 icate of tax credit issued by the commissioner of homes and community
23 renewal pursuant to section six hundred seventy-two of the public hous-
24 ing law. In no event shall the taxpayer be allowed a credit greater than
25 the amount of the credit listed on the certificate of tax credit, or in
26 the case of a taxpayer who is a partner in a partnership, a member of a
27 limited liability company, or shareholder in an S corporation, its pro
28 rata share of the amount of credit listed on the certificate of tax
29 credit.

30 (4) Credit recapture. If a certificate of eligibility or a certificate
31 of tax credit issued by the division of homes and community renewal
32 under article seventeen of the public housing law is revoked by such
33 division because the taxpayer does not meet the eligibility requirement
34 set forth in section six hundred seventy-one of the public housing law,
35 the amount of credit described in this subsection and claimed by the
36 taxpayer prior to that revocation shall be added back to tax in the
37 taxable year in which any such revocation becomes final.

38 § 7. Section 210-B of the tax law is amended by adding a new subdivi-
39 sion 64 to read as follows:

40 64. Mass timber production tax credit. (a) Allowance of credit. A
41 taxpayer who is eligible for a credit with respect to tangible personal
42 property and other tangible property pursuant to paragraph (b) of subdivi-
43 vision one of this section shall be allowed an additional ten percent
44 credit with respect to tangible personal property that is principally
45 used for the purposes of producing, processing or assembling mass
46 timber.

47 (b) Application of credit. The credit allowed under this subdivision
48 for any taxable year may not reduce the tax due for such year to less
49 than the amount prescribed in paragraph (d) of subdivision one of
50 section two hundred ten of this article. However, if the amount of cred-
51 it allowed under this subdivision for any taxable year reduces the tax
52 to such amount, or if the taxpayer otherwise pays tax based on the fixed
53 dollar minimum amount, any amount of credit thus not deductible in that
54 taxable year will be treated as an overpayment of tax to be credited or
55 refunded in accordance with the provisions of section one thousand
56 eighty-six of this chapter. Provided, however, the provisions of

1 subsection (c) of section one thousand eighty-eight of this chapter
2 notwithstanding, no interest will be paid thereon.

3 (c) For the purposes of this subdivision, "mass timber" means engi-
4 neered wood products such as cross-laminated timber, dowel laminated
5 timber, nail laminated timber, glue-laminated timber, and glue-laminated
6 beams and columns.

7 § 8. Section 606 of the tax law is amended by adding a new subsection
8 (www) to read as follows:

9 (www) Mass timber production tax credit. (1) Allowance of credit. A
10 taxpayer who is eligible for a credit with respect to tangible personal
11 property and other tangible property pursuant to paragraph two of
12 subsection (a) of this section shall be allowed an additional ten
13 percent credit with respect to property that is principally used for the
14 purposes of producing, processing or assembling mass timber. In the case
15 of a taxpayer who is a partner in a partnership, member of a limited
16 liability company or shareholder in an S corporation, the taxpayer shall
17 be allowed its pro rata share of the credit earned by the partnership,
18 limited liability company, or S corporation. No cost or expense paid or
19 incurred by the taxpayer that is the basis for this credit shall be the
20 basis for any other tax credit provided by this chapter.

21 (2) Application of credit. If the amount of the credit allowed under
22 this subsection for any taxable year exceeds the taxpayer's tax for the
23 taxable year, the excess shall be treated as an overpayment of tax to be
24 credited or refunded in accordance with the provisions of section six
25 hundred eighty-six of this article, provided, however, no interest will
26 be paid thereon.

27 (3) For the purposes of this subdivision, "mass timber" means engi-
28 neered wood products such as cross-laminated timber, dowel laminated
29 timber, nail laminated timber, glue-laminated timber, and glue-laminated
30 beams and columns.

31 § 9. This act shall take effect immediately and shall apply to taxa-
32 ble years beginning on or after January 1, 2026; provided, however, that
33 section three of this act shall expire and be deemed repealed five years
34 after such effective date.